

SENATE BILL 508

By Walley

AN ACT to amend Tennessee Code Annotated, Title 47,
relative to the Uniform Commercial Code.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 47-8-110(b), is amended by deleting "local law of the securities intermediary's jurisdiction, as specified in subsection (e)," and substituting "law of this state".

SECTION 2. Tennessee Code Annotated, Section 47-8-110, is amended by deleting subsections (e) and (f).

SECTION 3. Tennessee Code Annotated, Section 47-8-503(a), is amended by deleting ", except as otherwise provided in § 47-8-511".

SECTION 4. Tennessee Code Annotated, Section 47-8-511, is amended by deleting the section and substituting:

If a securities intermediary does not have sufficient interests in a particular financial asset to satisfy both its obligations to entitlement holders who have security entitlements to that financial asset and its obligation to a creditor of the securities intermediary who has a security interest in that financial asset, then the claims of entitlement holders, other than the creditor, have priority over the claim of the creditor.

SECTION 5. Tennessee Code Annotated, Section 47-9-305(a), is amended by deleting subdivisions (3) and (4) and substituting:

(3) The local law of the commodity intermediary's jurisdiction governs perfection, the effect of perfection or nonperfection, and the priority of a security interest in a commodity contract or commodity account.

SECTION 6. This act takes effect July 1, 2025, the public welfare requiring it.